ISSUER REVIEW · 6M2026

Citadele banka

OK

Latvia · Bank (Baltic universal bank; LV, LT, EE; leasing, asset management)

Position OK. 1H profit EUR 39.8m (–8%), ROE 13.7%; CET1 17.8%, total capital 21.6%[4]. Citing geopolitical uncertainty, the bank paid out only 31.5% of profit as dividends, which favours bondholders[5].

NET PROFIT · 6M2026
39.8 EUR m
▼ 8.1 % vs 6M2025

ROE · 6M2026
13.7 %
▼ 1.7 p. p. vs 6M2025

CET1 RATIO · 6M2026
17.8 %
▼ 0.4 p. p. vs FY2025

TOTAL CAPITAL RATIO · 6M2026
21.6 %
▼ 0.7 p. p. vs FY2025

Quick summary

- **Profit slightly lower:** 1H net profit (continuing operations) EUR 39.8m versus 43.3m; ROE 13.7% (15.4%). Net interest income stable at EUR 89.5m[4].
- **Capital and liquidity with headroom:** CET1 17.8%, total capital 21.6%, LCR 163%, NSFR 138%[6].
- **Cautious dividends:** EUR 25.7m paid for 2025 (31.5% payout versus a 50% policy) due to geopolitical uncertainty; a EUR 50m share buyback was completed in January 2026[5].
- **Management changes:** S. Mizak left the board (March 2026) and CRO J. Lebedinska-Ļitvinova stepped down (May 2026); E. Näsäkkälä is nominated as the new CRO[7].

Key facts

ISSUER RATING
Moody's (2026-04-21): long-term deposits A3, senior unsecured Baa2, outlook stable; AT1 Ba3[1,2]

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 public financial information - 2026-11-04[3]

COUNTRY
Latvia

Securities held

Citadele 7.125% AT1 perpetual
XS3060301168 · 7.125% · perpetual
no separate rating found

Citadele 3.875% fixed/floating senior preferred 2029
XS3148256913 · 3.875% · 2029-12-23
Moody's Baa2

01 Instruments held and ISINs

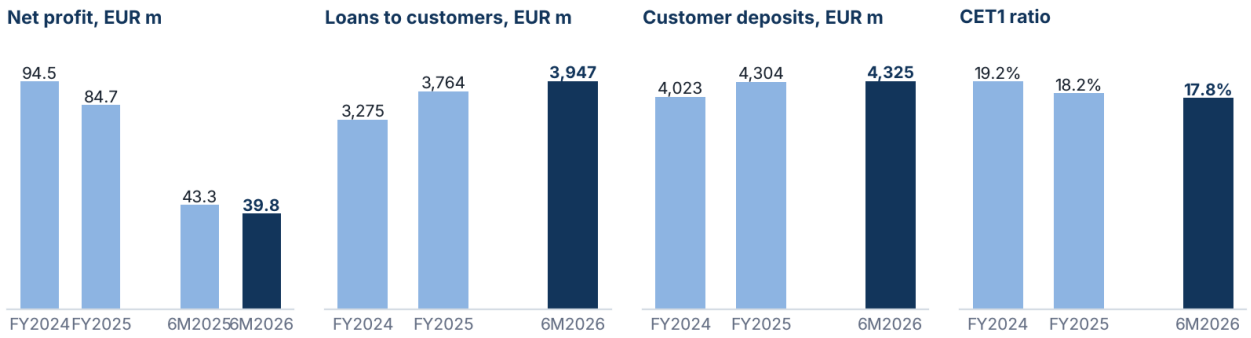
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
XS3060301168	Citadele 7.125% AT1 perpetual	7.125%	perpetual	no separate rating found	Additional Tier 1, temporary write-down, perpetual; fixed to first reset 2031-01-09; Moody's Ba3
XS3148256913	Citadele 3.875% fixed/floating senior preferred 2029	3.875%	2029-12-23	Moody's Baa2 (senior unsecured (assigned 2026-04-21))	Senior preferred, MREL-eligible; fixed to reset 2028-12-23, then 3M EURIBOR+1.70%; Moody's Baa2

02 Key ratios

METRIC	FY2024	FY2025	6M2025	6M2026	CHANGE
Net profit, EUR m[8,4]	94.5*	84.7*	43.3*	39.8*	▼ 8.1 % vs 6M2025
Net interest income, EUR m[8,4]	192.5*	177.2*	89.2*	89.5*	▲ 0.3 % vs 6M2025
Total operating income, EUR m[8,4]	234.8*	221.5*	111.5*	109.4*	▼ 1.9 % vs 6M2025
Cost/income ratio[8,4]	48.4%*	49.2%*	47.1%*	**50.3%***	▲ 3.2 p. p. vs 6M2025
ROE[8,4]	17.5%*	14.6%*	15.4%*	**13.7%***	▼ 1.7 p. p. vs 6M2025
Cost of risk[8,4]	0.0%*	0.1%*	0.3%*	0.3%*	• 0 p. p. vs 6M2025
Net interest margin[4]	–	–	3.8%*	3.7%*	▼ 0.1 p. p. vs 6M2025
Loans to customers, EUR m[8,4]	3,275*	3,764*	–	3,947*	▲ 4.9 % vs FY2025
Customer deposits, EUR m[8,4]	4,023*	4,304*	–	4,325*	▲ 0.5 % vs FY2025
CET1 ratio[8,4]	19.2%*	18.2%*	–	**17.8%***	▼ 0.4 p. p. vs FY2025
Total capital ratio[8,4]	21.4%*	22.3%*	–	**21.6%***	▼ 0.7 p. p. vs FY2025
LCR[8,4]	181%*	181%*	–	**163%***	▼ 18 p. p. vs FY2025
NSFR[8,4]	143%*	141%*	–	**138%***	▼ 3 p. p. vs FY2025
NPL ratio[8,4]	2.3%*	1.7%*	2.1%*	**1.9%***	▼ 0.2 p. p. vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



03 Business performance review

- Loans EUR 3,947m (+4.9% since YE2025), deposits EUR 4,325m (calculated by the tool)[9].
- Cost/income 50.3% (47.1%), cost of risk 0.3%, stage 3 loans 1.9% (2.1%)[10].
- Green financing in 1H EUR 56.4m (7.5% of new lending); EUR 176.2m in 2025[11,12].

04 Financials

- **FY2025 profit (continuing operations) EUR 84.7m (2024:** 94.5m), ROE 14.6% (17.5%); the Swiss Kaleido Privatbank was sold in 2025[13].
- On 2026-09-28 EUR 50m of senior preferred bonds (5.15%) were issued; part of the proceeds will buy back EUR 40m of subordinated bonds[2].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Dividend policy: 50% of prior-year profit, subject to internal capital targets	31.5% paid for 2025; the remaining EUR 15.1m may be paid later in 2026[14,5]	Changed: the board reduced the payout due to geopolitical uncertainty[5].	**Revised**
Green financing target of EUR 75m for 2026	1H: EUR 56.4m[15,11]	In progress: 75% of the annual target reached in the half year (calculated by the tool)[11].	**In progress**
Vision: become the Baltic banking champion	Loan book growing, ROE 13.7%[4]	Long-term goal.	**In progress**

06 Investor information & conclusions

- **Instruments held:** a 3.875% senior preferred (MREL) bond, EUR 300m, fixed until 2028-12-23 then 3M EURIBOR + 1.70%, maturing 2029-12-23, rated Baa2; and a 7.125% perpetual AT1, EUR 50m, first reset (call) date 2031-01-09, rated Ba3[3].
- **For AT1 holders:** CET1 of 17.8% is well above requirements, and the cautious dividend policy supports capital[16].
- **Owners:** Ripplewood consortium 69.8%, EBRD 27.8%[17]. An extraordinary shareholders' meeting was held on 2026-10-12[3].
- **Conclusion:** good profitability, strong capital and cheap funding. 9M results due on 2026-11-04.

07 Market and environment

- **Margin narrowing:** net interest income EUR 89.5m (flat), NIM 3.7% (3.8%) due to lower average Euribor, offset by loan growth[18]. Costs +5% on consulting, IT and communications[18].
- **Macro:** the ECB raised the deposit rate by 25 bp to 2.25% in June; markets do not exclude further hikes[19]. 2026 GDP forecasts: Latvia 1.8%, Lithuania 2.9%, Estonia 2.2%; Lithuanian inflation 5.8%[20].
- **Outlook:** higher-for-longer interest rates will continue to shape the Baltic outlook[21].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.43% (2026-10)	3.23%	2.72%	▲ 0.71 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

- **Bonds:** on 2026-09-29 Citadele placed a EUR 50m bond issue, oversubscribed 1.35 times[22,23].
- **Customer safety:** in October the bank warned of new fraud schemes (impersonating bank staff) – customer warnings, not breaches[24].

Automatic news scan (Google News, EE, LT, LV), 2026-07-25 – 2026-10-23: 10 articles.

2026-09-29	BONDS	„Citadele banka“ išplatino 50 mln. obligacijų emisiją 15min.lt
2026-10-18	MANAGEMENT	Citadele panga tegevjuht: kõige madalam hõive- ja palgakasv on tehisintellektile tundlikes sektorites Head Uudised
2026-10-20	OTHER	Sukčiai „WhatsApp“ apsimeta „Citadele“ darbuotojais: kaip apsaugoti duomenis ir pinigus 77.lt
2026-10-20	OTHER	Banka "Citadele" brīdina par jaunām krāpnieku aktivitātēm DELFI
2026-10-19	OTHER	Banka "Citadele" izplatījusi brīdinājumu Latvijas iedzīvotājiem NRA
2026-10-16	OTHER	Banka "Citadele" izsniegusi 3,9 miljonu eiro aizdevumu "Līvānu SES" un "Krāslavas SES II" Radio1.lv
2026-10-13	OTHER	Citadele ievieš C Business platformu efektīvākai uzņēmuma pārvaldībai TVNET
2026-10-06	OTHER	„Citadele“ pristato inovatyvią platformą verslui administracinei naštai mažinti Delfi
2026-10-02	OTHER	Citadele ievieš platformu uzņēmumiem administratīvā sloga mazināšanai Dienas Bizness
2026-10-01	OTHER	Citadele 50 miljoni emissioon märgiti 1,35 korda üle quasa.io

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- The bank is not active in excluded sectors and has defined industries it does not finance due to significant negative environmental impact[12].

✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies or supervisory fines found (2026-10-22).

✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).

✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
- No adverse news found (2026-10-22).
- News summary 2026-07-25 – 2026-10-23: 10 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- Green Lending Framework
- Green financing EUR 176.2m in 2025 (2024: 102.4m), green savings EUR 52m[12].
- Member of the UN Principles for Responsible Banking
- The asset manager is a PRI signatory[25].

✓ **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- Target of net-zero financed emissions by 2050 (Transition Plan v1)[15].

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- The Investments policy and the Environmental and Social & Human Rights policies[26].

Met
- Financing exclusions[12]
- 2050 climate target[15]
- UN PRB membership[25]
- AML and sanctions training for close to 100% of staff[15].

Could be improved
- Financed emission figures not found in the report.

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: the bank is profitable, well capitalised and ESG practice is in order.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**

- Green financing 11% of new lending in 2025[12]
- Women on the management board 43%, supervisory board 25%[27].

Additional comments:

Conclusion: No exclusions or red flags. Green financing is growing, with a climate target and UN PRB membership.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. Citadele - Ratings, 2026-10-22
2. Citadele issues EUR 50 million senior unsecured preferred bonds (2026-09-28), 2026-09-28
3. Citadele - Bonds, 2026-10-22
4. Citadele - Interim report 6M 2026, p. 2, 2026-08-05
5. Citadele - Interim report 6M 2026, p. 5, 2026-08-05
6. Citadele - Interim report 6M 2026, p. 2, 7, 2026-08-05
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8. Citadele - Annual report 2025, p. 2, 2026-03-19
9. Citadele - Interim report 6M 2026, p. 2, 15, 2026-08-05
10. Citadele - Interim report 6M 2026, p. 2, 4, 2026-08-05
11. Citadele - Interim report 6M 2026, p. 7, 2026-08-05
12. Citadele - Annual report 2025, p. 24, 2026-03-19
13. Citadele - Annual report 2025, p. 2, 5-7, 2026-03-19
14. Citadele - Annual report 2025, p. 11, 2026-03-19
15. Citadele - Annual report 2025, p. 22, 2026-03-19
16. Citadele - Interim report 6M 2026, p. 2, 5, 2026-08-05
17. Citadele - Interim report 6M 2026, p. 11, 2026-08-05
18. Citadele - Interim report 6M 2026, p. 6, 2026-08-05
19. Citadele - Interim report 6M 2026, p. 9, 2026-08-05
20. Citadele - Interim report 6M 2026, p. 10, 2026-08-05
21. Citadele - Interim report 6M 2026, p. 4, 2026-08-05
22. 15min.lt – „Citadele banka“ išplatino 50 mln. obligacijų emisiją, 2026-09-29
23. quasa.io – Citadele 50 miljoni emissioon märgiti 1,35 korda üle, 2026-10-01
24. DELFI – Banka "Citadele" brīdina par jaunām krāpnieku aktivitātēm, 2026-10-20
25. Citadele - Annual report 2025, p. 23, 2026-03-19
26. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
27. Citadele - Annual report 2025, p. 20, 2026-03-19

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.